Car Dealership Business Plan (Sample)

This car dealership business plan sample shows what a lender-ready plan looks like for an independent used-car dealership in Ontario. It covers startup costs, OMVIC licensing, floorplan financing, and three years of illustrative projections — the four things every dealer plan is judged on.

A note before you read: the company in this sample — Northline Auto Sales of Toronto (fictional) — is fictional, and every dollar figure is illustrative, not a quote or a benchmark. Use the structure, steal the logic, plug in your own numbers. This example is for a first-time independent dealer planning a used-car lot in Ontario.

Building a real one? Our free AI business plan generator drafts the structure in minutes — then a CPA review makes it lender-grade.

Table of contents

1. Executive summary
2. Company description
3. Market analysis
4. Organization & management
5. Inventory & operations
6. Marketing plan
7. Financial projections
8. Funding request
9. Frequently asked questions

Executive summary (sample)

Northline Auto Sales (fictional) is a Toronto-based independent used-car dealership selling 10–14 quality used vehicles per month from a leased lot in Etobicoke. The business is structured as an Ontario corporation and will register with OMVIC, Ontario's vehicle-sales regulator, before opening.

The founder, a former franchise-dealership salesperson with eight years in the industry (fictional background), is seeking an illustrative $250,000 in financing: a $175,000 floorplan line for inventory and $75,000 in working capital for lot setup, insurance, and operating runway. Illustrative projections show the dealership reaching profitability in year one on 120 units sold, growing to 200 units by year three.

> ***Why this matters:*** *a dealer executive summary lives or dies on four lines — units, gross per unit, the floorplan line, and the ask. If a lender can't find those in 30 seconds, the rest doesn't get read.*

Company description

- **Legal structure:** Ontario corporation (fictional example).
- **Location:** Leased 40-vehicle lot, Etobicoke, Toronto.
- **Licensing:** OMVIC dealer registration — mandatory in Ontario before offering any vehicle for sale. Salespeople must also hold OMVIC registration.

- **Model:** Independent used-car retail. No franchise fees, no manufacturer quotas — margin comes from buying right (auctions, trade-ins) and turning inventory fast.

A complete version of this section would also identify ownership, the intended premises, the registration status, and the activities the corporation will perform. Keep those statements aligned with supporting documents. The purpose is not to decorate the plan; it is to let a reviewer trace the operating model from the legal entity through the licence and into the forecast.

> ***Why this matters:*** *lenders check OMVIC registration before they check your projections. An unlicensed dealer is an unfundable dealer in Ontario — state the registration status explicitly in every dealer plan.*

Market analysis

Demand drivers for independent used-car dealers in Ontario (qualitative — size them with local data for your plan):

- New-car pricing pressure pushes buyers into late-model used vehicles.
- Commuting patterns across the GTA sustain demand for reliable second cars.
- Fleet and lease turnover feeds auction supply — the independent dealer's inventory pipeline.

Competition: franchise dealers (certified pre-owned programs), other independents, and private sellers on marketplace platforms. Independents win on price, flexibility, and niche focus (e.g., trucks, EVs, budget commuters).

For a real plan, replace the qualitative outline with cited local evidence and a named competitor review. Explain the buyer segment, the geographic draw, the inventory niche, and the reason a shopper would choose the lot. Separate demand evidence from supply evidence: customer interest does not guarantee that suitable vehicles can be acquired at a cost that supports the forecast.

> ***Why this matters:*** *never claim "no competition" in a dealer plan — every lender knows the franchise store down the road. Name your lane and defend it instead.*

Organization & management

Lean team, all roles defined (fictional staffing plan):

- **Dealer-principal / owner-operator** — buying, pricing, floorplan management.
- **Salesperson (1–2)** — OMVIC-registered; compensation weighted to commission to keep fixed costs low.
- **Admin / bookkeeper (part-time)** — deals paperwork, OMVIC compliance filings, receivables.

The hiring plan should connect responsibilities to volume rather than presenting titles alone. Show who can authorize purchases, who controls vehicle records and deal files, and who reconciles inventory to financing. As the dealership grows, explain which role is added first and what operating pressure triggers that hire. A practical accountability map is more useful than a large startup organization chart.

> ***Why this matters:*** *in a dealership plan, the org chart is a cost-control story. Lenders want to see that payroll flexes with unit volume — heavy fixed salaries on a startup lot are a red flag.*

Inventory & operations

Sourcing: dealer auctions (primary), trade-ins, and fleet disposals. Target: vehicles 3–7 years old, clean history reports, reconditioning budget per unit built into pricing.

Reconditioning: safety certification, detailing, minor mechanical — completed before listing. Cars that can't be certified don't get bought; that's the discipline.

Floorplan financing — the heart of a dealer plan. A floorplan line is revolving inventory credit: the lender funds each vehicle onto the lot, and each sale repays that vehicle's advance plus interest. In plain English: it's a line of credit where the cars are the collateral. Lenders scrutinize three things — the advance rate (what share of each car's cost they'll fund), the curtailment schedule (how the advance shrinks the longer a car sits), and your inventory turnover. A dealer that turns inventory every 45–60 days is a very different risk from one sitting on 120-day stock.

A used car dealership business plan should connect every stage of inventory to a control: approval before purchase, title and history review, a written reconditioning decision, pricing, listing, aging review, sale, and repayment of the related advance. Describe how the dealership records vehicles funded with its own cash separately from vehicles funded by a floorplan line. The forecast should use the same stocking and turnover assumptions described here.

If you are researching how to start a car dealership in Ontario, treat compliance and operating setup as parallel workstreams. Registration, premises, insurance, inventory sourcing, accounting, GST/HST treatment, and financing each need evidence from the appropriate adviser or provider. This sample does not quote fees or promise terms; your plan should use current written quotes and the requirements that apply to your own circumstances.

> ***Why this matters:*** *most first-time dealers under-explain floorplan in their plans. If the lender has to ask how your inventory is financed, you've already lost momentum. Spell out the facility, the collateral, and the turnover assumption.*

Marketing plan

Online listings: the lot's real showroom is its listings — every unit photographed, priced against market, and posted the day it's certified.

Google Business Profile: reviews from buyers compound; a 4.5-star independent outranks a silent franchise store locally.

Repeat & referral: service reminders, trade-in offers to past buyers — the cheapest units you'll ever sell are to people who already bought from you.

Translate each channel into a repeatable activity and a measure the owner reviews. Listing quality, inquiry response, appointment activity, showroom visits, completed sales, and referral sources form a useful sequence without relying on an invented market statistic. The marketing plan and inventory plan also have to agree: promoting a niche that the lot does not consistently stock creates clicks, not credible revenue.

Financial projections (illustrative)

All figures below are illustrative — a teaching example, not a benchmark.

Illustrative startup costs (CAD)

Item	Illustrative cost (CAD)
Lease deposits (lot)	$15,000
Lot improvements & signage	$25,000
OMVIC registration & compliance setup	$5,000
Initial inventory down payment (floorplan equity)	$40,000
Garage liability insurance (first year)	$12,000
Working capital & operating runway	$30,000
Launch marketing	$8,000
Total	**$135,000**

Illustrative 3-year profit summary (CAD)

	Year 1	Year 2	Year 3
Units sold	120	160	200
Revenue	$2,160,000	$2,880,000	$3,600,000
Cost of vehicles sold	$1,896,000	$2,520,000	$3,150,000
Gross profit	$264,000	$360,000	$450,000
Operating expenses	$210,000	$250,000	$290,000
Net profit (illustrative)	**$54,000**	**$110,000**	**$160,000**

These illustrative summaries are only the starting point for a financing package. A real forecast should show monthly cash flow, inventory purchases and sales, taxes including GST/HST where relevant, financing activity, and a balance sheet that reconciles cash, inventory, payables, debt, and equity. Assumptions should be visible so a reviewer can test a slower sales pace, lower gross per unit, or longer holding periods without guessing how the model works.

Build the detailed model from units rather than applying a single growth percentage to revenue. For each month, begin with opening inventory, add planned purchases, subtract expected sales, and arrive at closing inventory. Then connect vehicle cost, reconditioning, and expected gross profit to the units sold. This makes it possible to see whether the requested floorplan capacity can support the stock on hand and whether the working-capital request covers expenses while vehicles are being prepared and marketed.

For a vehicle-service model, the auto repair shop business plan sample illustrates how workshop capacity, labour and parts costs connect to the financial plan.

Keep cash flow separate from accounting profit. A vehicle purchase can consume cash or floorplan availability before the related sale appears in revenue. Likewise, repayment of the inventory advance follows the sale, while payroll, rent, insurance, marketing, and professional costs continue on their own schedules. A monthly model exposes those timing differences. It should also show owner equity entering the business, the intended use of that equity, and the point at which operations are expected to fund themselves.

Finally, document the assumptions beside the forecast. Identify where each input comes from: a lease proposal, an insurance indication, reconditioning quotes, the founder's actual sales history, supplier information, or a written discussion with a prospective financing provider. Do not copy the illustrative amounts from this page into a credit application. The value of this sample is the relationship between the assumptions, the operating narrative, and the financial statements—not the example dollar values.

Funding request (illustrative)

Illustrative funding request: $250,000 — a $175,000 floorplan line secured against inventory plus $75,000 working capital for setup and runway. Repayment: floorplan advances repaid per vehicle sold; working capital serviced from operating cash flow.

In a real request, match each use of funds to supporting evidence and identify which costs are paid from owner equity, working capital, or inventory financing. Avoid treating the approved limit as permanent cash: floorplan financing follows individual inventory and its controls. The written request, the forecast, and the sources-and-uses schedule should describe the same financing structure.

> ***Why this matters:*** *check the arithmetic in any sample you publish — lenders do. (Here: $2,160,000 − $1,896,000 = $264,000; $264,000 − $210,000 = $54,000, and so on down each column.) A plan with a footing error anywhere loses credibility everywhere.*

Frequently asked questions

How much does it cost to start a car dealership in Ontario?

It depends on the lot, the inventory model, and how much of the inventory a floorplan line covers. The illustrative sample above totals $135,000 in startup costs before inventory financing — real figures vary widely with location and scale. The two numbers that matter most are your floorplan equity (the down payment the lender requires on inventory) and your operating runway. Build both from quotes, not guesses.

Do I need a licence to sell cars in Ontario?

What is floorplan financing?

How many cars should a small dealership stock?

What do lenders look for in a dealership business plan?

New or used — which is better for a startup dealership?

Can you write my dealership business plan for me?

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Use this sample as a guide to structure; for research and projections based on your own business, explore our professional business plan writer. We confirm the deliverables and scope before work begins.